

INSURANCE CLAUSE IN EPC CONTRACT

9.1 Contractor's Insurance

- (a) The Contractor shall obtain and maintain, at its own cost and expense, the insurance coverage set forth in Schedule F throughout the performance of the Work until the issuance of the Taking-Over Certificate for the Works, with reputable insurers acceptable to the Owner. Such insurance shall include, at a minimum:
 - (i) Contractor's All-Risk / Construction All-Risk Insurance;
 - (ii) Third Party Liability Insurance;
 - (iii) Workers' Compensation and Owner's Liability Insurance;
 - (iv) Professional Indemnity Insurance;
 - (v) Marine Cargo and Transit Insurance (for Equipment in transit from China to Nigerian Port only, the owner shall be responsible for insurance for equipment in transit from port to site);
 - (vi) Motor Vehicle Liability Insurance; and
 - (vii) Such other insurance as may be required by Applicable Law or specified in Schedule F.
- (b) All policies shall name the Owner as an additional insured and/or loss payee, as applicable. All policies shall contain waivers of subrogation in favour of the Owner Group. The Contractor shall provide the Owner with certificates of insurance and copies of policies upon request.
- (c) The Contractor shall not cancel, materially alter, or allow to lapse any required insurance without giving the Owner at least [thirty (30)] Days' prior written notice.

9.2 Owner’s Insurance

The Owner shall obtain and maintain, at its own cost, any insurance required for the Owner’s own operations and property at or near the Site, as specified in Schedule F. Such insurance may include, at the Owner’s discretion, Delay in Start-Up (DSU) insurance.

Schedule A-1: Scope of Work and Contract Price

Transportati on										
	Nigerian local transportation	1	The Owner/client shall be responsible for custom clearance at the port of delivery (Apapa or other port) and shall be responsible for transporting all equipment from the port of delivery to the project site. The Owner/client shall bear all the cost including transportation, security, insurance, etc.	-	×	✓	×	✓	×	✓

Schedule F: Insurance Requirements

To be prepared by the Contractor for Owner approval. This Schedule shall specify:

- (a) Contractor's required insurance types, minimum limits and deductibles
- (b) Owner's insurance (if applicable)
- (c) General insurance requirements (additional insured, insurer ratings, waiver of subrogation)

Insurance Sizing Guidance:

The following minimum sizing principles shall apply when the Contractor proposes coverage limits:

- (i) Construction All-Risk (CAR): minimum cover equal to the full reinstatement value of the Facility (not less than the Contract Price), including coverage for materials in transit and stored off-site;
- (ii) Third Party Liability: minimum cover commensurate with the risk profile and location of the Project, taking into account proximity to populated areas, environmental sensitivity, and the nature of materials being handled;
- (v) All insurers shall carry a minimum rating of A- (AM Best) or BBB+ (S&P) or equivalent; and
- (vi) All deductibles shall be for the Contractor's own account and shall not reduce the coverage available to the Owner.